

## Business Disability — Educational Planning Guide

A clean, plain-English guide to the major types of business disability coverage, what each one solves, how benefits are paid, key policy features that drive claims, and the checklist that keeps decisions clean and documented.

### The Big Picture

- Disability risk is not only a personal-income problem. It can be a **business survival** problem.
- Business disability coverage is designed to protect **operations**, **ownership continuity**, and **cash flow** when a key owner or key producer can't work.
- There are a few common “lanes” of business disability coverage. The right lane depends on what must stay funded: overhead, ownership buyout, key-person cash flow, or debt service.

**What disability can break inside a business:** payroll, rent, utilities, debt payments, vendor obligations, client retention, production capacity, partner relationships, and succession plans. Business disability coverage is about keeping the doors open and the agreements honored while recovery happens.

### The Four Core Lanes of Business Disability Coverage

| Lane (What it protects)                        | What it typically pays for                                                                                                                         | Best fit when...                                                                                            |
|------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Business Overhead Expense (BOE)                | Reimburses eligible <b>fixed operating expenses</b> while the insured owner is disabled (up to a monthly max).                                     | The business depends heavily on one owner/producer and you want to keep operations stable for 12–24 months. |
| Disability Buy-Out (DBO) / Buy-Sell Disability | Provides funds to <b>buy out</b> a disabled owner's interest under a written buy-sell agreement (lump sum or installments).                        | There are multiple owners and you need a clean, funded exit if a disability becomes long-term/permanent.    |
| Key Person Disability                          | Pays the business cash to offset <b>lost revenue</b> , hiring/transition costs, and operational disruption from a key employee/owner's disability. | The business relies on one or two people to produce revenue or manage critical relationships.               |

|                                          |                                                                                                           |                                                                                          |
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| Business Loan / Debt Protection (varies) | Pays benefits intended to help cover <b>business loan payments</b> or debt obligations during disability. | The business has significant debt service or personal guarantees that must stay current. |
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## Lane 1: Business Overhead Expense (BOE)

BOE coverage is designed to reimburse eligible **fixed operating expenses** so the business can keep running while an owner or key professional is disabled.

### What BOE typically reimburses

- Rent or lease payments for business premises.
- Utilities and basic operating services.
- Salaries and payroll taxes for non-owner staff (policy definitions vary).
- Insurance premiums and professional fees (as defined).
- Interest on eligible business debt (as defined).

### What BOE typically does NOT reimburse

- Owner's personal salary or personal living expenses.
- Profits or lost revenue (that's a different lane).
- New expansion costs or discretionary upgrades.
- Expenses outside the policy's definition or incurred outside the benefit period.

### Core BOE design features (what drives the outcome)

- **Elimination period:** the waiting period before benefits begin. Many BOE designs use shorter elimination periods (often 30/60/90 days, and sometimes 15/30) depending on carrier.
- **Benefit period:** BOE benefit periods are commonly shorter (often 12–24 months, sometimes longer depending on carrier).
- **Monthly maximum benefit:** the cap. BOE typically reimburses **actual eligible expenses** up to the cap.
- **Definition of disability:** definitions and partial/residual provisions vary; policy wording controls claims.
- **Proof of loss:** documentation usually matters (rent statements, payroll, invoices, tax/accounting records).

**Clean BOE rule:** Don't "guess" expenses. Build the monthly benefit from a 12-month average of real overhead. Then confirm what the policy counts as eligible overhead.

## Lane 2: Disability Buy-Out (DBO) / Buy-Sell Disability

This coverage is built to fund an ownership transfer when a disability becomes long-term. It works best when it is paired with a **written buy-sell agreement** that defines what “disability” means, how value is determined, and how the buyout will be executed.

### What DBO is solving

- Remaining owners can continue operating without draining working capital or taking on emergency debt.
- The disabled owner has a funded exit path instead of being “stuck” in a role they can’t perform.
- Families avoid long, expensive disputes over value, control, and cash flow.

### Key DBO design features

- **Trigger definition:** the buyout trigger is definition-driven (total disability, sometimes including a length-of-disability requirement).
- **Elimination period:** DBO elimination periods are often longer than BOE (commonly measured in many months) because the intent is to solve **long-term disability**, not short disruptions.
- **Benefit form:** lump sum, installments, or a combination depending on design.
- **Coordination with the agreement:** the policy should match the buy-sell terms (valuation method, parties, funding mechanics).

## Lane 3: Key Person Disability

Key person disability coverage is designed so the business receives cash when a defined key individual becomes disabled. This cash can be used to stabilize operations, cover recruiting/transition costs, and offset disruption while the business adjusts.

### Common uses of key person disability benefits

- Cover revenue gaps tied to the key person’s production or management.
- Pay for temporary leadership, staffing, outsourcing, or consulting.
- Fund recruiting, onboarding, and training for a replacement.
- Maintain marketing, client service, and critical vendor relationships.

**Key person clarity:** This lane is about the business’s continuity and cash flow. It is separate from individual disability income that protects the person’s household.

## **Lane 4: Business Loan / Debt Protection (varies by carrier)**

Some designs are built to help cover business loan payments when an owner or key producer is disabled. These solutions can be structured in different ways depending on carrier and underwriting. The key is aligning the benefit with the debt obligation and documenting the purpose clearly.

### **Where this lane matters most**

- Businesses with large recurring debt payments.
- Owners who personally guarantee business debt and need protection against a long disruption.
- Businesses in growth phases where cash reserves are thin.

## **Universal Policy Features to Understand (across all lanes)**

- **Definition of disability:** Total disability, partial/residual disability, and how “material duties” are defined. Wording controls outcomes.
- **Elimination period:** Waiting period before benefits begin.
- **Benefit period:** How long benefits can be paid once the claim is approved.
- **Limitations/exclusions:** Pre-existing condition limitations, policy exclusions, and any condition-specific limits vary by carrier/state.
- **Coordination:** How business disability coverage coordinates with individual disability income, group disability, and business continuity plans.

### **Common claim friction points (what causes surprises)**

- Assuming something is covered without confirming the policy definition.
- Underestimating the documentation needed to prove overhead, loss, or eligibility.
- Misalignment between a buy-sell agreement’s disability trigger and the insurance trigger.
- Not planning for the elimination period (no cash reserve / no interim plan).

## Tax Treatment (General Education)

Tax treatment depends on how a policy is structured, who pays premiums, and what the benefit is paying for. A common rule of thumb: **if premiums are deducted**, benefits tend to be **taxable**; if premiums are paid with after-tax dollars and not deducted, benefits are often **received tax-free**. Because business structures vary, confirm specifics with a qualified tax professional.

| Coverage lane                                   | Premiums (general education)                                                                   | Benefits (general education)                                                                                                            |
|-------------------------------------------------|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| Business Overhead Expense (BOE)                 | Often treated as a business expense when it is truly overhead coverage (confirm with tax pro). | Often treated as taxable income to the business; overhead expenses paid remain deductible in most setups (net effect is often neutral). |
| Disability Buy-Out (DBO) / Buy-Sell             | Commonly treated as not deductible.                                                            | Commonly treated as income tax-free; other tax consequences may apply depending on entity structure and transaction details.            |
| Key Person Disability                           | Commonly treated as not deductible when the business is the beneficiary.                       | Commonly treated as received tax-free in many setups; confirm based on ownership/beneficiary structure.                                 |
| Group disability paid by employer for employees | Employer premiums may be deductible as a business expense.                                     | Benefits are generally taxable to the employee to the extent premiums were employer-paid or paid pre-tax (details vary).                |

## Decision Framework (works for education or guidance)

- 1) **Name the exposure:** What must stay funded if a key person cannot work: overhead, ownership transition, key-person revenue, or debt service?
- 2) **Confirm the time horizon:** short disruption vs long-term disability.
- 3) **Match the lane:** BOE for overhead; DBO for ownership; key person for continuity cash; debt protection for loan payments.
- 4) **Document the numbers:** 12-month overhead average, debt schedules, revenue concentration, ownership percentages, valuation method.
- 5) **Verify definitions:** disability definition, elimination period, benefit period, and claim documentation requirements.
- 6) **Coordinate:** individual disability income, emergency reserves, and the written buy-sell agreement (if applicable).

## Education Checklist (What to Gather)

- Business entity type and ownership structure (owners, percentages, operating agreement/buy-sell agreement).
- Profit & loss statements (12–24 months) and a breakdown of fixed overhead expenses.
- Debt obligations: loan statements, payment schedules, guarantees.
- Key person dependency: who produces revenue, who owns relationships, who can replace them and how fast.
- Existing coverage: individual disability income, group disability, key person life, BOE/DBO already in place.
- Preferred outcome: keep business running, fund an ownership transition, or both.

**Clean documentation standard:** If the business ever needs this coverage, the claim is won or lost on definitions and documentation. Decide with numbers, then confirm the policy language.

Protect your health. Protect your wealth. Protect your family. Protect your legacy.

**DISCLOSURE:** This guide is for educational purposes only and isn't legal or tax advice. Policy provisions, definitions, benefits, limitations, and exclusions vary by carrier and state, and may change. Always confirm details in the policy/certificate, your governing agreements (including any buy-sell), and with licensed professionals and a qualified tax advisor.